

Exercise for Lecture 2

Use the following information to answer questions 1 and 2.

In Country AAA, we have

$C = 200 + 0.5(Y - T)$ and the tax rate (t) is 5% of Income.

In Country BBB, we have

$C = 300 + 0.75(Y - T)$ and the tax rate (t) is 20% of Income.

Questions:

1. Calculate a fiscal multiplier for both countries and provide a detailed explanation of your result.
2. By how much should the government spending in country AAA increase in order to give a similar impact on the national income as in country BBB, given that the initial increase in government spending in country BBB is 1 billion dollars?

Exercise for Lecture 2 (cont.)

3. What are private goods? What are public goods? What are the differences between them? Please explain with a few examples. (Long answer is expected.)
4. “Government spending plays an important role in the change in the national income through a fiscal multiplier effect.” Do you agree or disagree with the above statement? Please explain. (Long answer is expected.)